Pricing Strategies

Unit 1 · 1.3.3.4 Pricing strategies

Price is the element of the marketing mix that directly earns revenue. The strategy must cover costs over time while fitting the market and the brand.

The main pricing strategies

- **Cost-plus** — add a fixed mark-up to unit cost (e.g. Tata Motors). Simple, guarantees a margin, but ignores customers and rivals.
- **Price skimming** — high launch price, lowered over time (e.g. Microsoft, Apple). Recovers R&D fast from early adopters; needs a strong USP and few rivals.
- **Penetration** — low launch price to win share fast, then raised (e.g. Disney+). Builds a base quickly but low early margins.
- **Competitive** — price in line with/just below rivals (e.g. supermarkets). Stays attractive in mature markets but limits margins and risks price wars.
- **Psychological** — prices that feel lower (£9.99 not £10; e.g. Huawei). Nudges buying but can look gimmicky for premium brands.
- **Predatory** — very low prices to force rivals out, then raised. Effective but illegal in many markets.

Skimming vs penetration

The two launch strategies take opposite paths: **skimming** starts high and falls as competitors enter; **penetration** starts low and rises once market share and loyalty are built.

Factors in the choice

- **USPs / differentiation** — a strong USP allows skimming or premium pricing.
- **Price elasticity of demand** — inelastic demand lets a firm charge more.
- **Level of competition** — crowded markets push towards competitive pricing.
- **Brand strength** — a powerful brand supports premium prices.
- **Product life cycle stage** — skimming/penetration at launch, competitive at maturity.
- **Costs & profit need** — price must cover costs over time.

Social trends and pricing

- **Online selling** — customers compare and buy anywhere, forcing prices down and raising transparency.
- **Price comparison sites** — make switching to the cheapest supplier easy, so firms price keenly or compete on non-price factors (delivery speed, loyalty schemes).